in Litton. Most small military electronics companies were outcompeted or taken over by larger competitors. Litton's only chance was to rapidly expand, Thornton told the bankers. "There's no other way to succeed in military electronics."[3] Such an approach would be possible, Thornton argued, provided he could get Litton's stock price up. The buoyant stock market in 1953 would help, but the key to getting and keeping a high price-to-earnings ratio on Litton's stock would be making sure it was regarded as a glamorous, high-growth technology business. Thornton told them, "I want to start a company that will become a strong blue chip in the scientific and technological environment of the future. It would be a balanced company—not just engineering, not just manufacturing, not just financial. You can't win a ball game with only a pitcher and catcher, and you can't have a strong company unless it's balanced."[4]

The investment bankers must have been skeptical. Thornton was operating a company he had just formed called Electro Dynamics Corporation.[5] Despite its impressive name, Electro Dynamics Corporation had no business and no assets. What it did have was a core of refugees from Hughes Aircraft with expertise in research and development and procuring contracts for government business.[6] After World War II ended Thornton had landed at Hughes Aircraft, a newly formed subsidiary of Hughes Tool, which was owned by the eccentric Howard Hughes. Like its eponymous founder, Hughes Aircraft was a basket case. Its most notable achievement was the "Spruce Goose," the huge wooden flying boat that never flew. It had few government contracts, and its track record of failing to deliver on those few contracts it did have gave it a bleak future. Hughes was an absentee landlord. The business was actually run by Noah Dietrich, Hughes's chief aide, and Dietrich wanted to dissolve it. Although Thornton was unaware of it, Dietrich had him installed to assist in its dismantling. Instead, Thornton turned the business around, transforming Hughes Aircraft into a highly profitable military electronics business with a research and development division the envy of the industry. Despite the company's success, Dietrich and Thornton clashed constantly. Hughes either refused to intervene or was incapable of doing so. When Dietrich fired one of Thornton's top lieutenants without consulting Thornton, he and a group of top executives resigned in protest. In his five years at Hughes Aircraft, Thornton had grown the business from revenues of just $8.5 million and a loss, to $600 million and an $8 million profit.[7] Thornton believed he could replicate his success at Hughes Aircraft, but this time he'd be working for himself. Rather than start from scratch, he'd find a small technology business with an established customer base that could be purchased cheaply. After a short search, he settled on Litton Industries because it was still owned by its founder Charles Litton, who was an engineer and inventor. Charles Litton recognized that he had